Budgeting Tips and Tricks

Business Academy Group Learning · Budgeting · December 2026

Your budget is your business plan in numbers. These tips help you build it once and keep it useful all year.

Build a realistic budget

- **Start with what you know.** Enter fixed costs first (rent, insurance, salaries), then add variable costs.
- **Use real enrollment, not full capacity.** Budget for the enrollment you usually have, not your licensed maximum.
- **Plan for late and missed payments.** Build in a small allowance for tuition that comes in late or not at all.
- **Don’t forget your own pay.** Owners often leave themselves out. Include a fair wage for your time.
- **Include once-a-year costs.** Insurance renewals, licensing fees, and equipment replacement belong in the budget too.

Use your key numbers

- **Know your cost per child.** Compare it to what you charge. If cost is higher, something has to change.
- **Know your break-even point.** This is the minimum enrollment you need to cover costs.
- **Watch your fill rate.** Enrolled children divided by licensed spaces. A few percentage points can make or break the year.

Make it a habit

- **Update monthly.** Pick a date, like the 5th, to enter last month’s actuals.
- **Compare budget to actual.** Look for lines that are off by more than about 10%, and ask why.
- **Test before you decide.** Save a copy and run “what if” scenarios before big changes.
- **Bring it to coaching.** Your Business Specialist can help you read the numbers.

For home-based providers

- **Separate household and business.** Only the business share of home costs belongs in the budget.
- **Value your time.** Long hours are common; make sure your budget pays you for them.
- **Plan for your time off.** Budget for closure days or a substitute so you can rest.

For center-based providers

- **Budget by classroom.** Ratios differ by age group, so costs and income per room do too.
- **Track staffing closely.** Wages and benefits are usually the largest expense.
- **Plan for turnover costs.** Hiring and training a new teacher costs money; budget for it.

Questions? Contact your Business Specialist: [name, email, phone]